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China Economics

Another Miss in Credit Data, and Will It Turn Around?

CITI'S TAKE

China's money and credit data for June missed expectations, hardly a surprise now with [the miss in GDP](#) published earlier today. Household and corporate credit demand stayed subdued, while lagging government bond issuance weighed on new TSF further. We maintain our view of incremental policies ahead, with a 10bps cut from the PBoC as early as July and acceleration in fiscal policy deployment. We are, however, cautious about whether credit numbers could turn around. The boost from government bonds issuance could be offset by weakness in credit demand. Credit impulse could stay negative in 26H2E amid the K-shaped economy.

Xinyu Ji^{AC}

+852-2501-2792

xinyu.ji@citi.com

Xiangrong Yu^{AC}

+852-2501-2754

xiangrong.yu@citi.com

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Money and credit data came in below consensus expectations in June. It is hardly a surprise now with [the GDP miss](#) and investment slump released by the NBS earlier. [New RMB Loans](#) came in at RMB1,610bn (Citi/Mkt: RMB1,800/1,950bn) compared with RMB2,240bn last June. [New Total Social Financing](#) missed expectations at RMB3,364bn (Citi/Mkt: RMB3,500/3,702bn), vs. RMB4,225bn last June. **Risk appetite remains subdued for private sector, with lagging fiscal deployment further weighing on new TSF.**

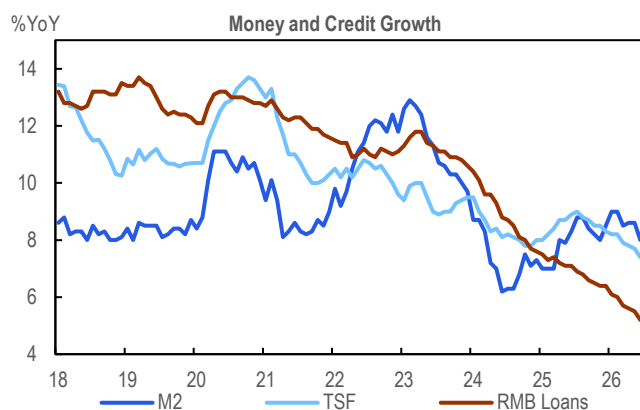
- **Household loans** turned positive, with short-term loans at RMB106bn and long-term loans at RMB158bn, lower than RMB262bn and RMB335bn last June, respectively.
- **Corporate credit demand** remained low, with combined long-term loans and long-term loans ~RMB289bn lower than last June – the former was RMB560bn vs. RMB1,018bn last June and bond financing reached RMB404bn vs. RMB242bn. Short-term loans and bills financing still supported the headline number with the PBoC's window guidance in the third consecutive month.
- **Government financing** recorded RMB769bn in June, the lowest reading within the year. Funds deployment has likely accelerated, with drawdown of fiscal deposits at RMB939bn vs. RMB820bn last June.

Credit and money growth decelerated with the soft numbers. Growth of outstanding TSF decelerated to 7.4%YoY, a new all-time low. Both M1 and M2 growth softened: M1 growth dipped to 4.0%YoY as a higher base kicked in (Citi/Mkt: 3.5/4.9%YoY), a one-year low, and M2 growth dropped to 8.0%YoY (Citi/Mkt: 8.1/8.5%YoY), a low reading within the year. Deceleration of M1 could continue within the year, with M1-M2 gap declining further, hinting at [plateauing and decelerating PPI inflation](#) going forward.

We maintain our view for incremental policy ahead after [the GDP miss earlier today](#). For monetary policies, we see 10bps cut in LPR rates as early as this July with the PBoC's earlier finetuning of its [interest corridor](#) and [newly set O/N reverse repo](#). The PBoC vowed supportive policies at a press conference today ([SCIO](#), Jul 15th), listing its tools for liquidity management, reiterating to keep financing cost low and pledging to expand the quota for structural policies if necessary – the last as the most explicit forward guidance on incremental policies from the central bank today. Pressure on headline number would still prompt the PBoC to act in our view, and we watch upcoming Politburo meeting for more comprehensive policy signals.

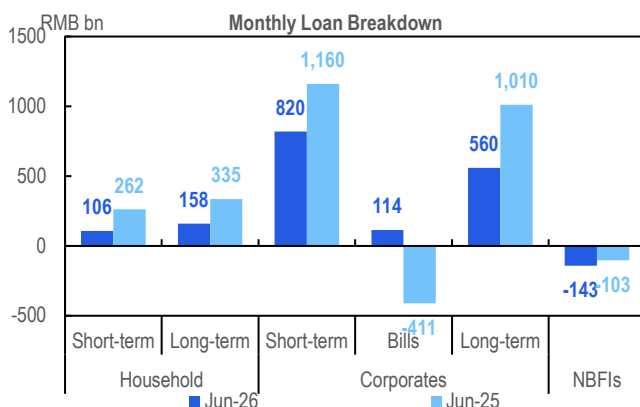
Will credit rebound follow with incremental measures? We tend to be more cautious. Government financing is the most certain driver for new TSF in 26H2. Remaining quota for government bonds is RMB7.45trn, providing a boost of RMB1.3trn compared with actual issuance of RMB6.18trn in 25H2. This part could be *offset* by weakness in organic credit demand: total of household loans and corporate long-term loans and bond financing were RMB2.2trn lower in 26H1 compared with 25H1, and we don't see immediate catalysts for a rebound. Fiscal policy implementation may slow the fall in credit growth but not reverse it. Credit impulse could stay negative throughout 26H2E.

Figure 1. Money and credit growth decelerated in June with soft credit data



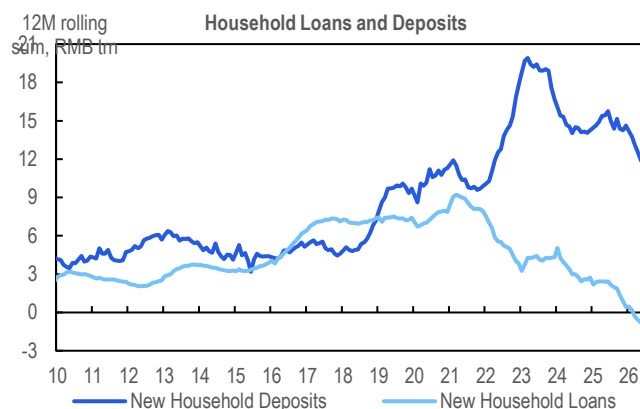
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Source: PBoC, Wind, Citi Research

Figure 3. Short-term lending and bills financing still helped with the loan number



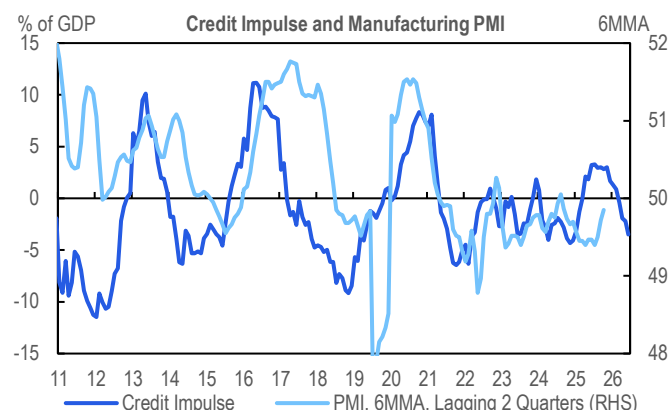
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Figure 5. Household risk appetite stayed subdued even with a seasonal rebound in new loans



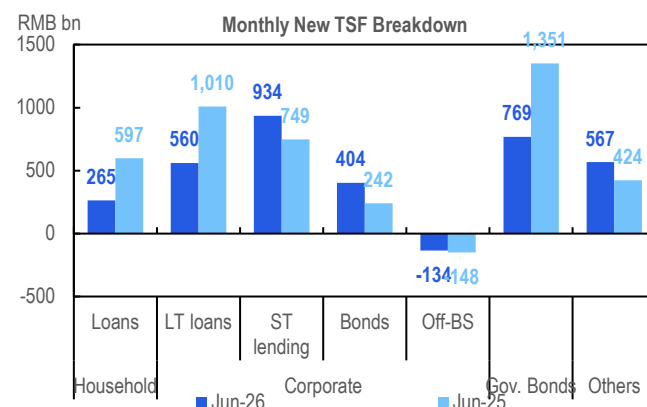
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Figure 2. Credit impulse could stay negative in 26H2E as we expect fiscal policies to cushion not reverse the fall



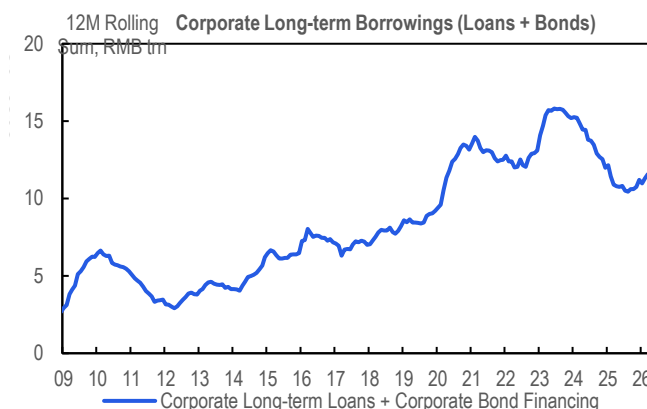
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Figure 4. Pace of government bond issuance weighed further on new TSF in June



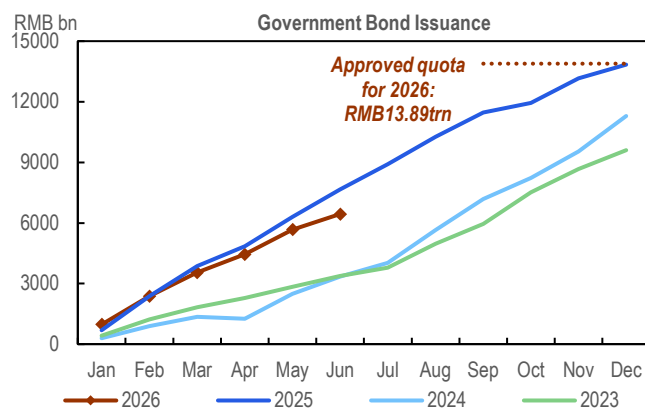
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Figure 6. Corporate credit demand was soft even after adding bonds to long-term loans



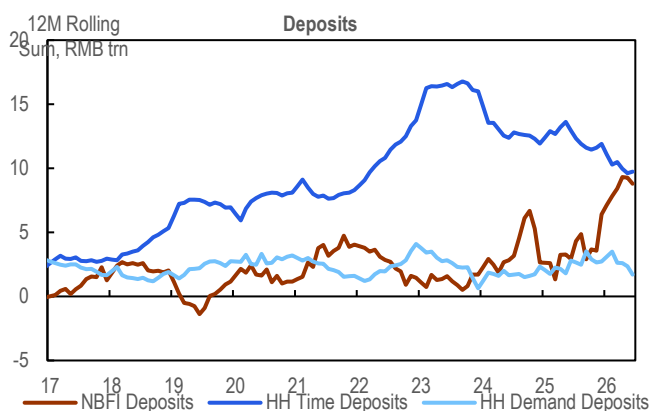
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Figure 7. Government bond issuance could accelerate and add an additional RMB1.3trn to new TSF in 26H2E



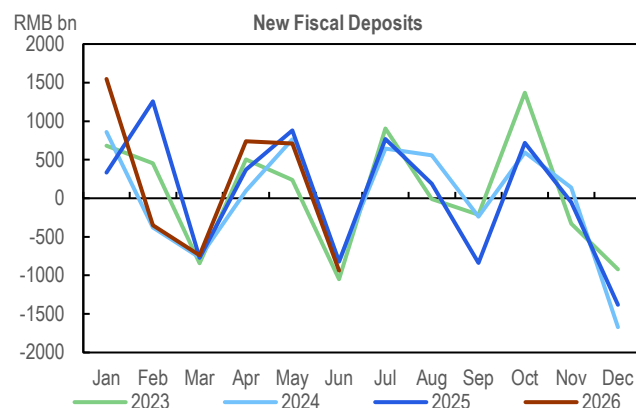
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Figure 9. Reallocation of household deposits is steady on track



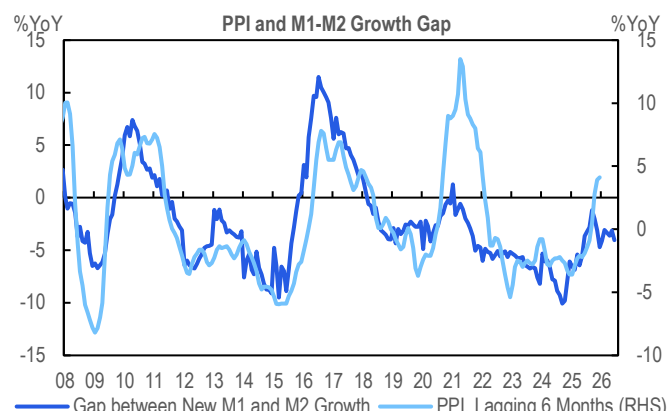
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Figure 8. Fiscal policy deployment could have started to accelerate with drawdown of fiscal deposits



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Figure 10. M1 growth dropped on a higher base, not boding well for PPI reflation beyond the year



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